

Global Strategy: Class #6

Political Risk, Institutional Voids, and Business Groups

Tata Group

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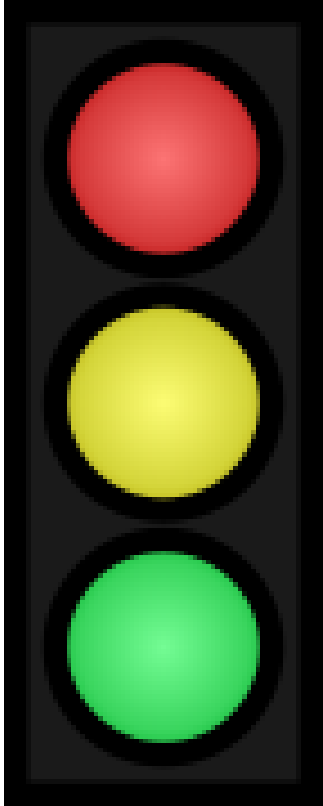
Last Class

- Where should we go? **AAA Framework.**
 - Combining different “As” is challenging. Walmart started with “Arbitrage,” but faced difficulties in “Adaptation” of its business model in other countries.
- How should we go? **Transaction Cost Economics (TCE) framework**
 - Incremental international expansions can minimize risks and allow a company to learn from prior experiences.
 - Transaction risks (contractual hazards) should be considered in the decision of which entry mode (governance structure) to use.
 - What about the country risks?

TODAY

- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Country Political Risk, Institutional Voids, and Business Groups

What We Are Trying to Solve in the Global Module

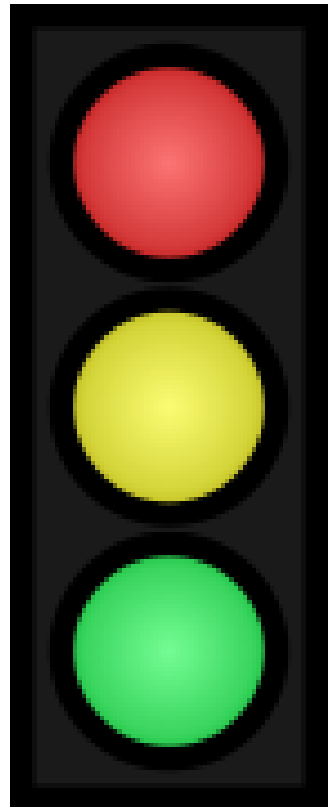


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Grolsch Beer
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart in China
- Tata Group
- Natura



[Video Link](#)

**What are
“Institutional Voids”?**

**How about
“Political Risk”?**

Khanna & Palepu (2005)

“Strategies that Fit Emerging Markets,” *Harvard Business Review*.

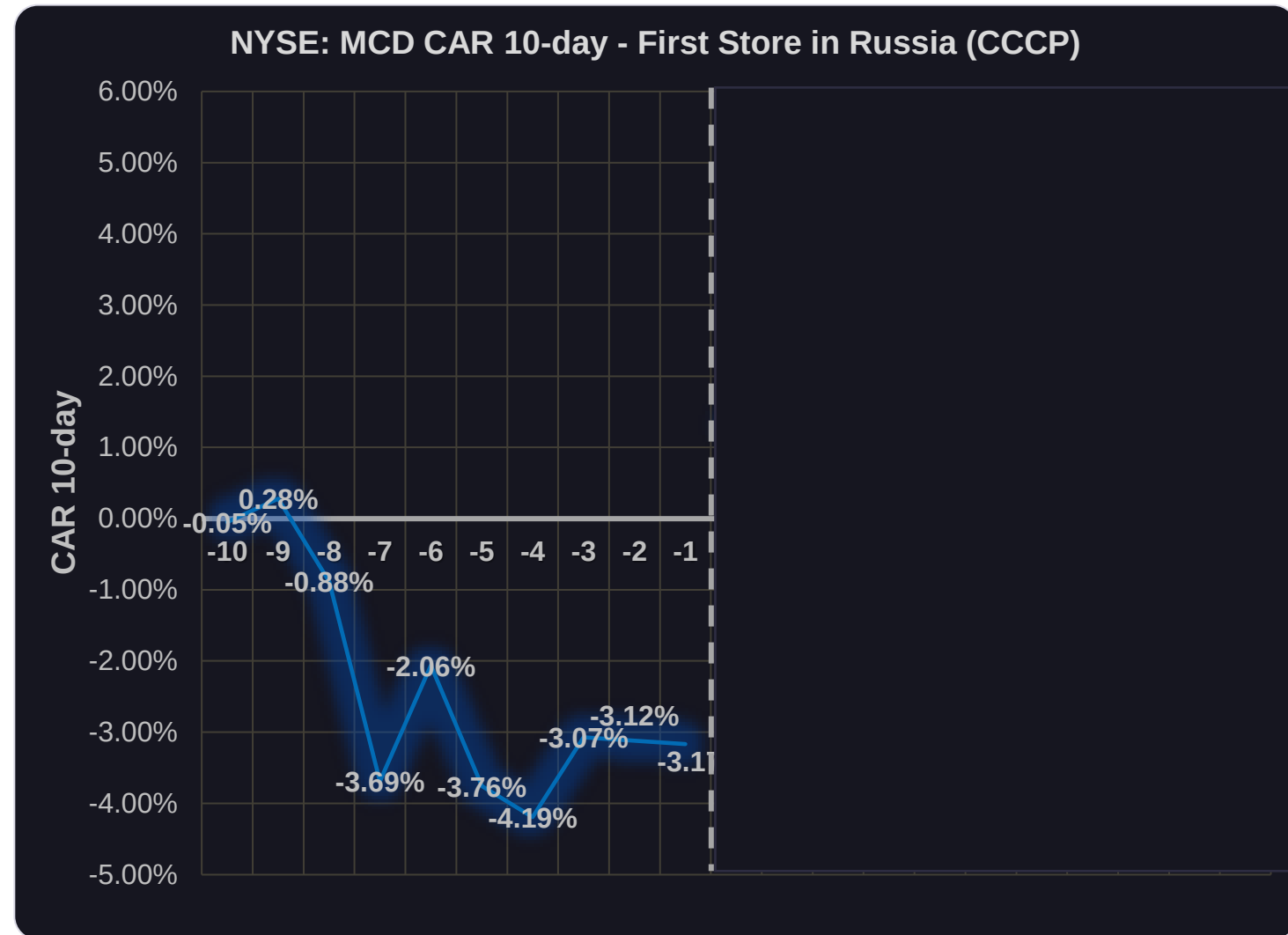
Henisz & Zelner (2010).

“The Hidden Risks in Emerging Markets” *Harvard Business Review*.



McDonald's in Russia (CCCP) – Dealing with “Institutional Voids”

1st McDonald's store in Russia (CCCP) on January 31st, 1990.



McDonald's in Russia (CCCP) – Dealing with “Institutional Voids”

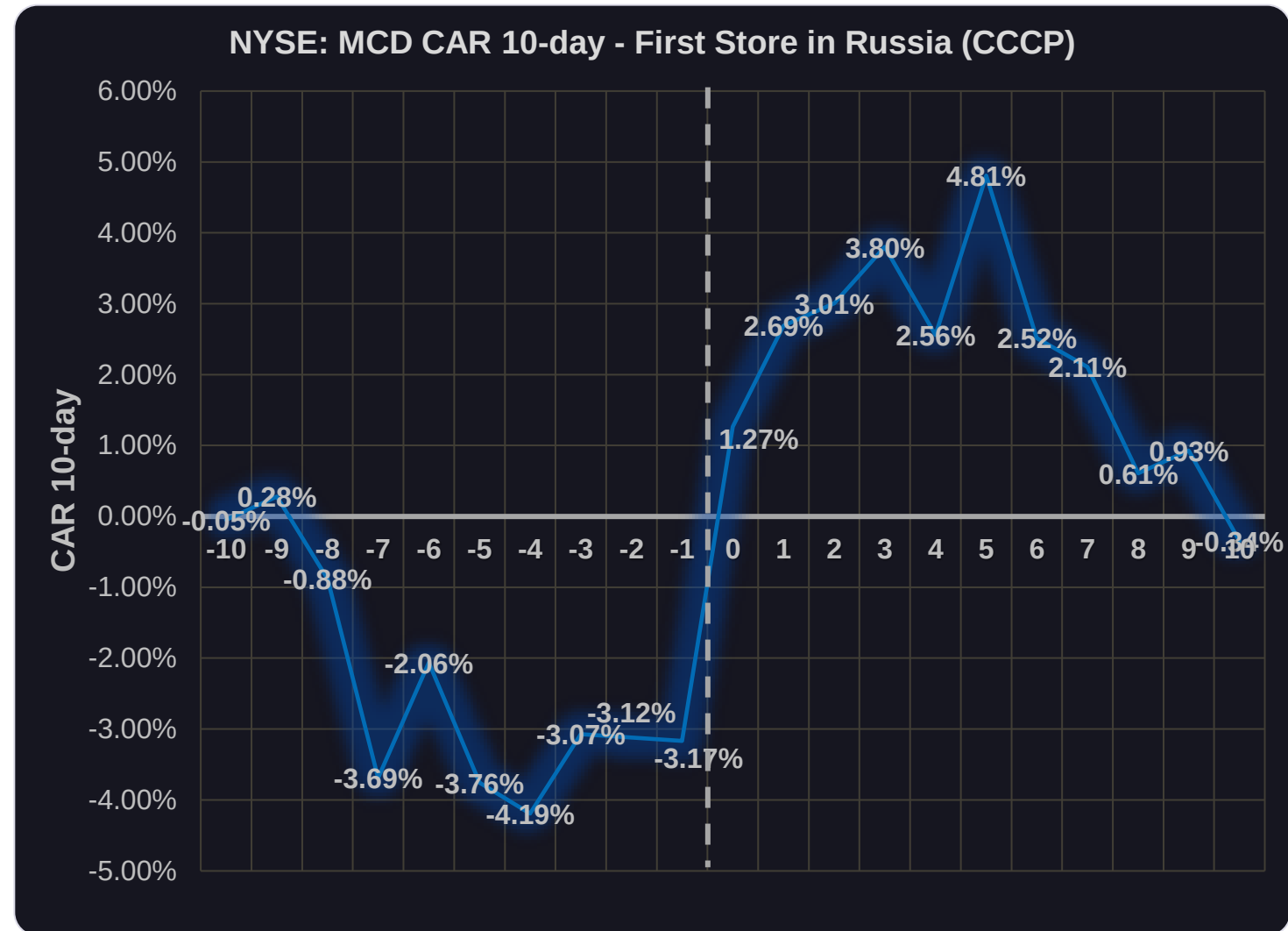
1st McDonald's store in Russia (CCCP) on January 31st, 1990.

NYSE: MCD CAR 10-day

- Average: before -2.37% vs. after 2.18%

Development of local institutions and business capabilities:

- Symbolism of Western values expansion
- Founding manager had previous internationalization experience in Canada
- Development of local supply chains to comply with McDonald's standards
- Human capital training of 62,000 employees
- 850 stores, of which 84% are vertically integrated (in 2022)
- 9% of McDonald's global revenue (in 2022)



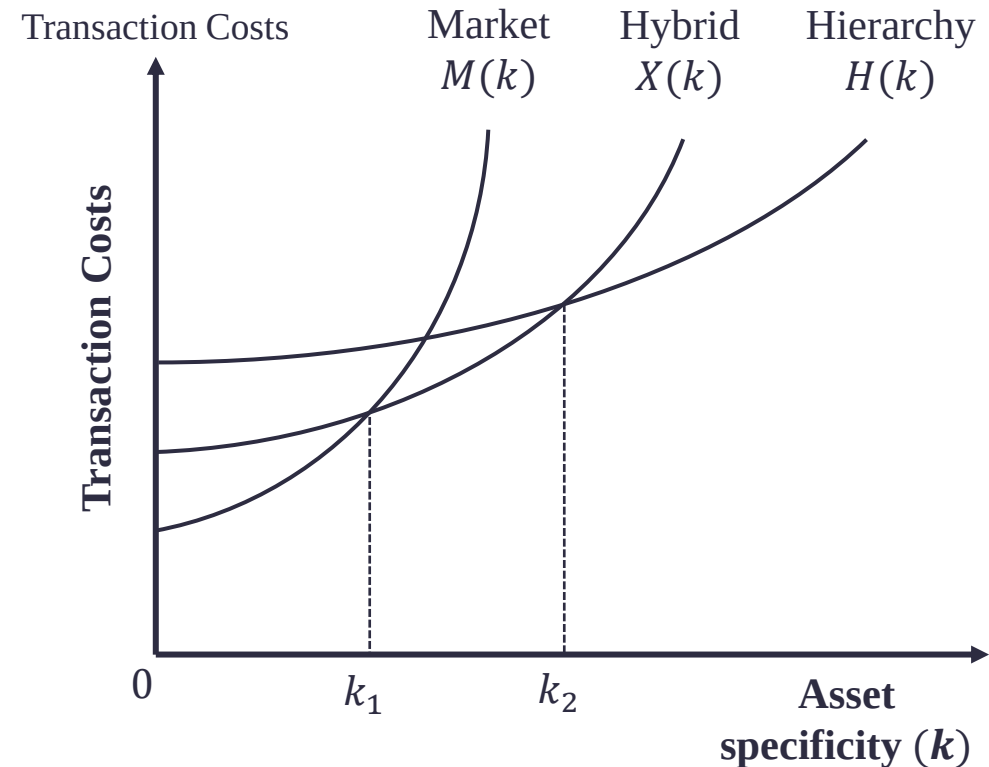
Recall: Transaction Cost Economics Framework

Three governance structures

- **Market $M(k)$:** import-export
- **Hybrid $X(k)$:** outsourcing contracts, licensing, franchising, alliances, joint-ventures
- **Hierarchy or Vertical Integration $H(k)$:** M&A, greenfield investments

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism**. (Contractual Hazard)

Objective is to minimize Transaction Costs (lower level of curves possible)



Note: Williamson (1991).

**Helpful analyzing transaction risk,
But how about country risk?**

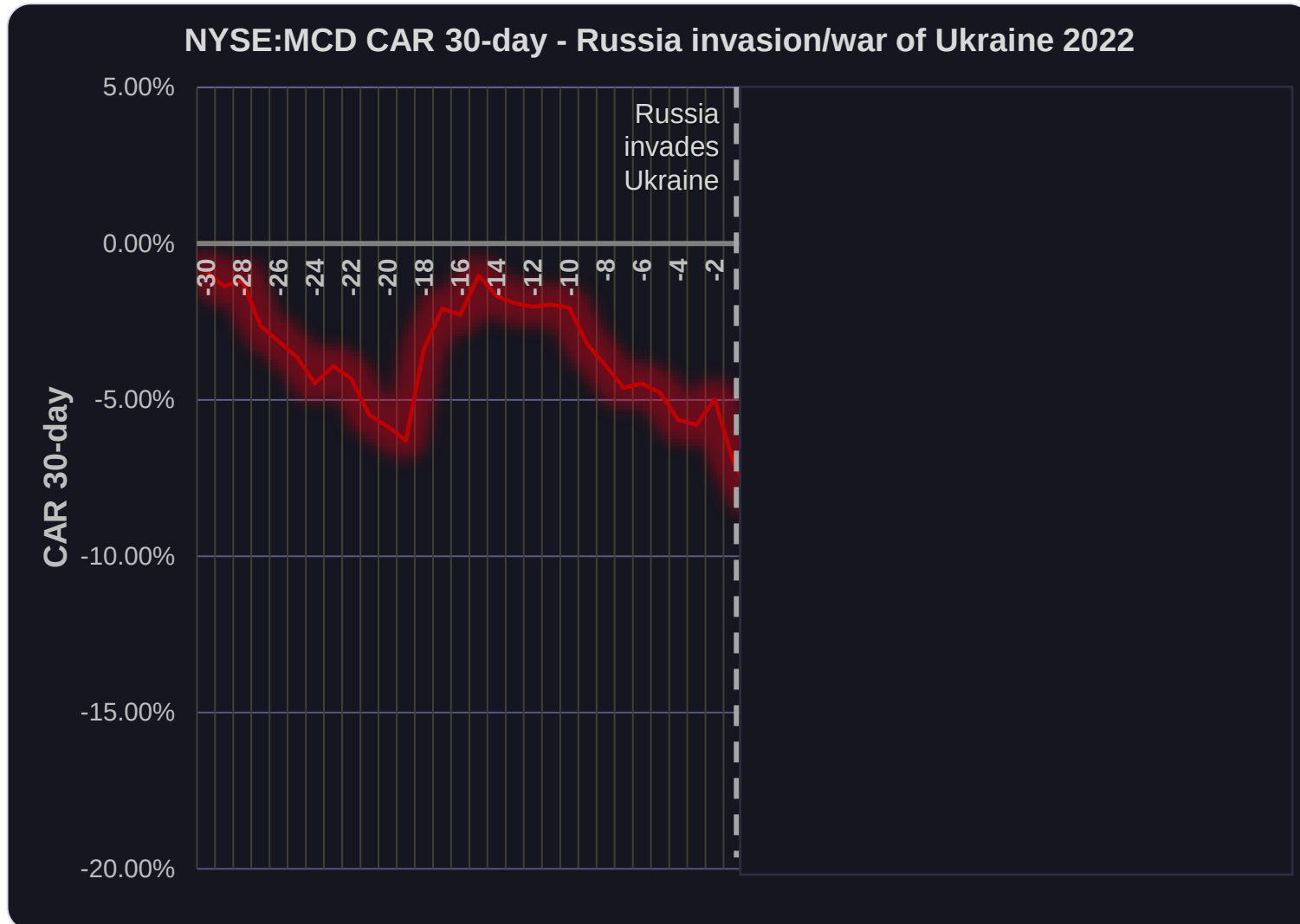
Political Risk

*“Historically, the biggest risks faced by foreign investors were in developing countries with immature or volatile political systems. The chief concern was ‘**expropriation risk**,’ the possibility that host governments would seize foreign-owned assets.”*

-- Henisz & Zelner (2010: 89).

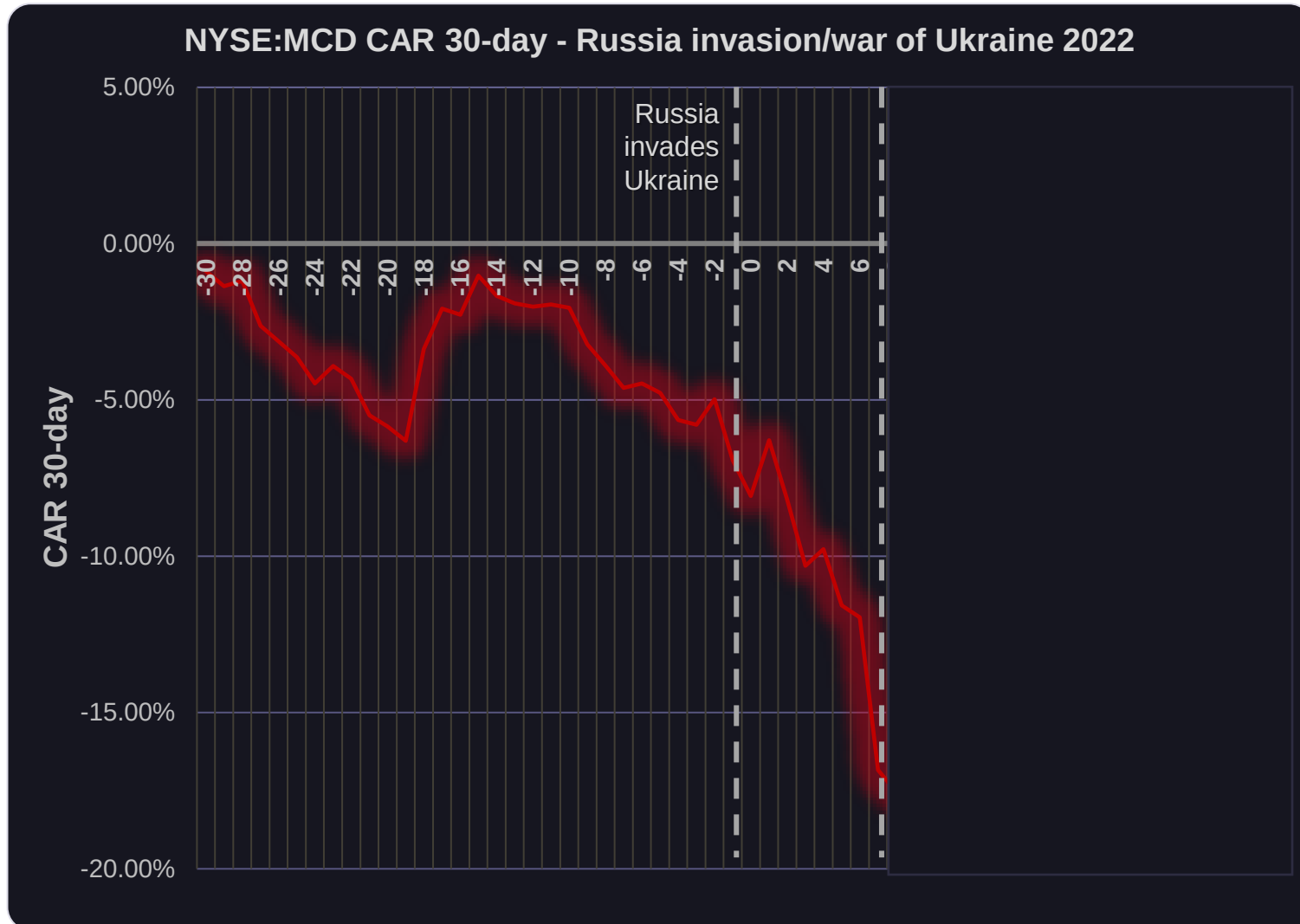


McDonald's in Russia (CCCP) – Dealing with Political Risk



Russia invades Ukraine on February 24th, 2022. (1st dashed line)

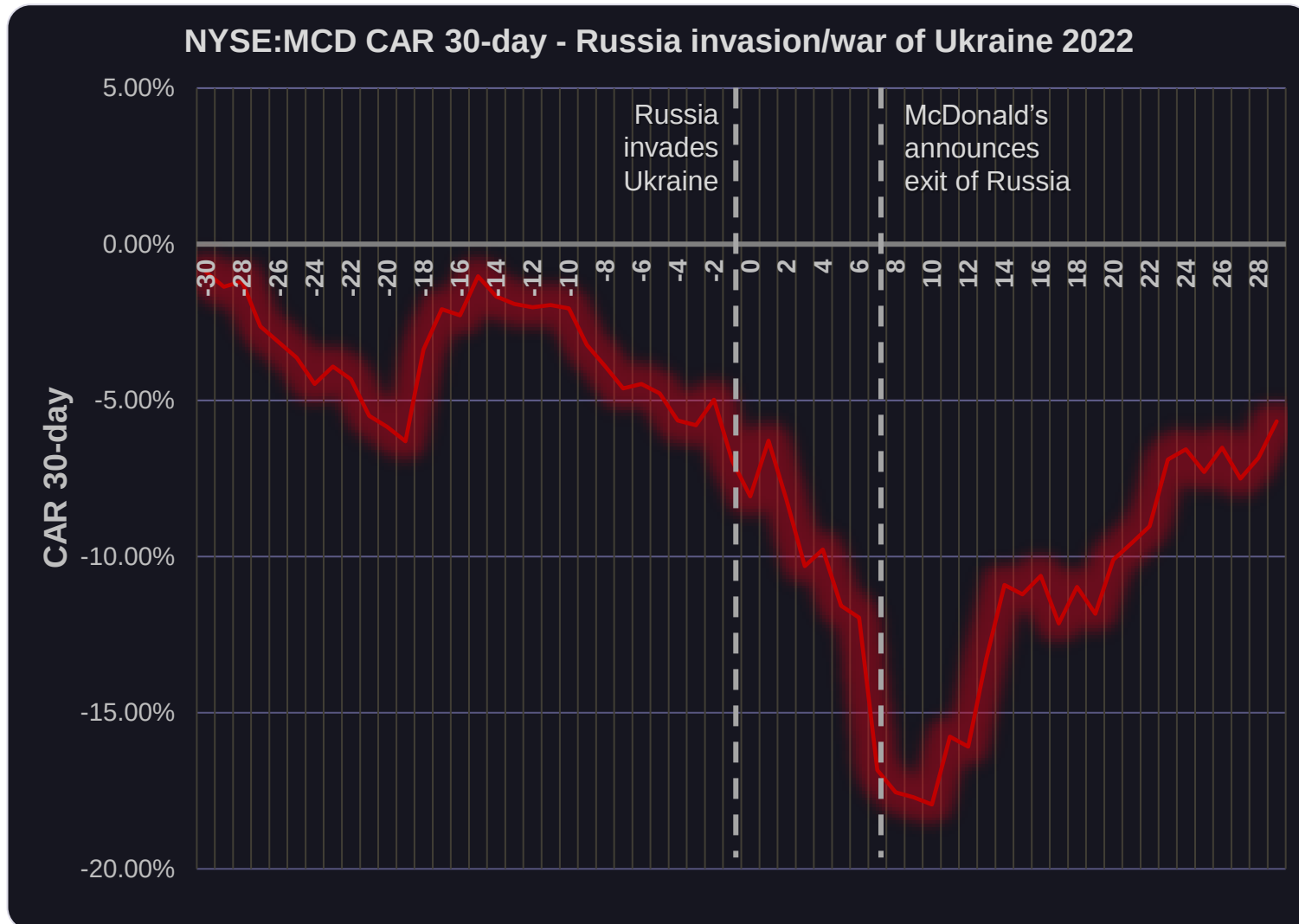
McDonald's in Russia (CCCP) – Dealing with Political Risk



Russia invades Ukraine on February 24th, 2022. (1st dashed line)

McDonald's announces exit from Russia on March 8th, 2022. (2nd dashed line)

McDonald's in Russia (CCCP) – Dealing with Political Risk



Russia invades Ukraine on February 24th, 2022. (1st dashed line)

McDonald's announces exit from Russia on March 8th, 2022. (2nd dashed line)

NYSE: MCD CAR 30-day

- Average: before -3.53% vs. between -11.18% vs. after -10.41%

Impact of Political Risk

- Continued paying employees
- “Sold” whole operation to local firm. “Asset expropriation.”
- Investment lost, at least in foreseeable future (15-year repurchase clause).
- Will it have the same quality?

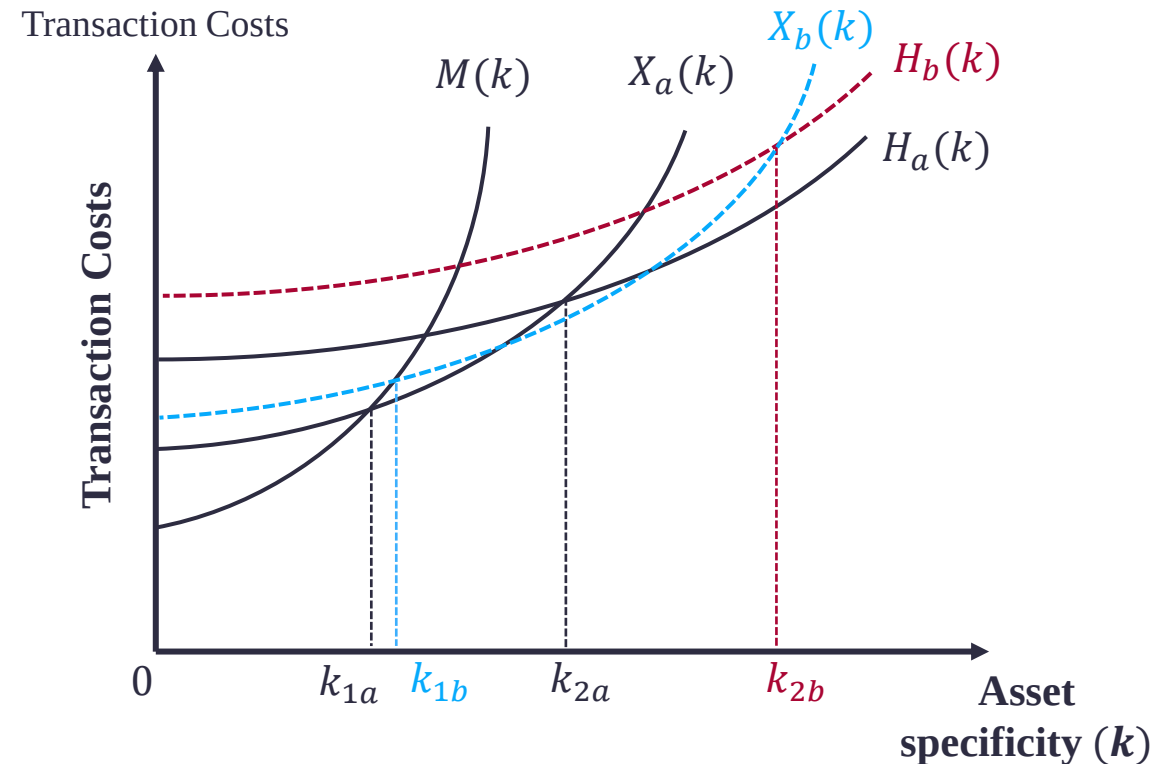
Political Risk increases contractual hazards, shifting curves

Political Risk increases contractual hazards
("expropriation risks")

- Shifts curves $H_a(k) \rightarrow H_b(k)$ and $X_a(k) \rightarrow X_b(k)$
 - **Reduces the attractiveness to partnering**
 - $k_{1a} \rightarrow k_{1b}$
 - **Reduces the attractiveness of vertical integration**
 - $k_{2a} \rightarrow k_{2b}$

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism**. (Contractual Hazard)

Objective is to minimize Transaction Costs (lower level of curves possible)



Note: Williamson (1991) and Henisz & Williamson (1999).

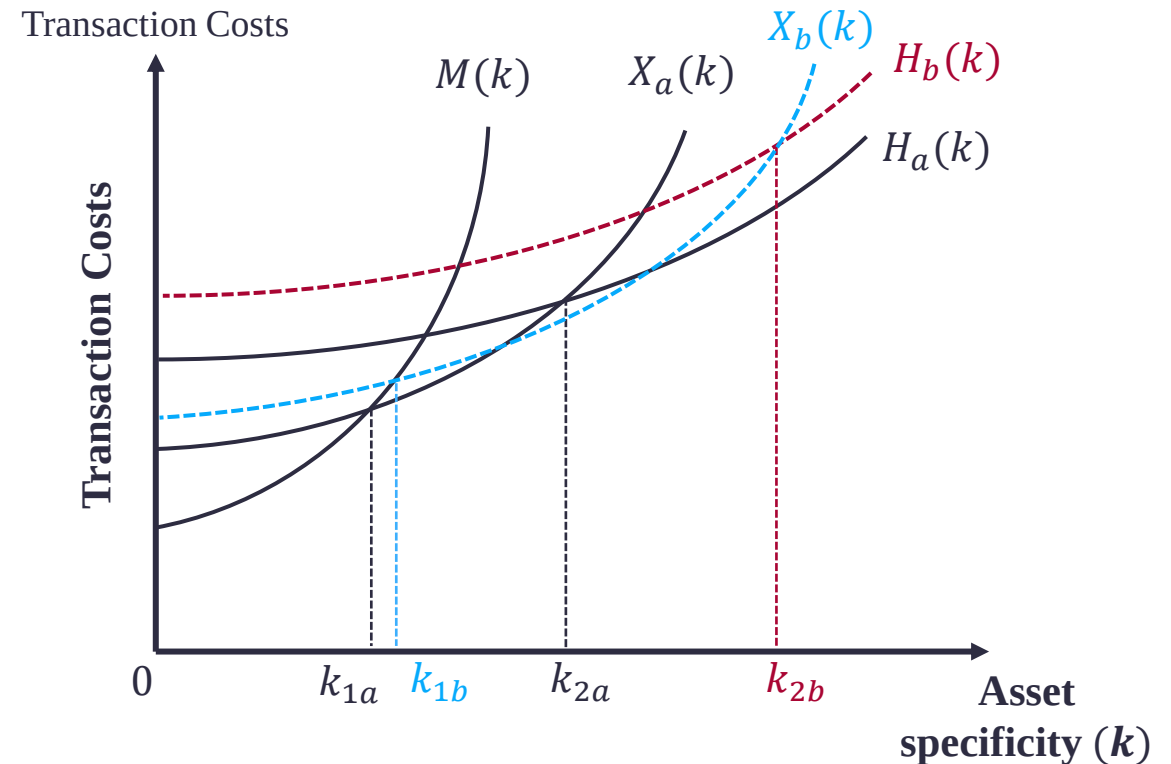
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[Video Link](#)

The background of the slide features a collage of four national flags: India (saffron, white, and green horizontal stripes with the Ashoka Chakra), Russia (white, blue, and red horizontal stripes), China (red field with five golden stars), and Brazil (green field with a yellow rhombus and a blue globe).

“Institutional Voids”

Lack of specialized intermediary firms and regulatory systems

- Political and Social System
- Openness (to FDI, foreign presence)
- Product Markets
- Labor Markets
- Capital Markets

MM

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A collage of four national flags: India (saffron, white, and green horizontal stripes with the Ashoka Chakra), Russia (white, blue, and red horizontal stripes), China (red field with five golden stars), and Brazil (green field with a yellow rhombus and a blue globe).

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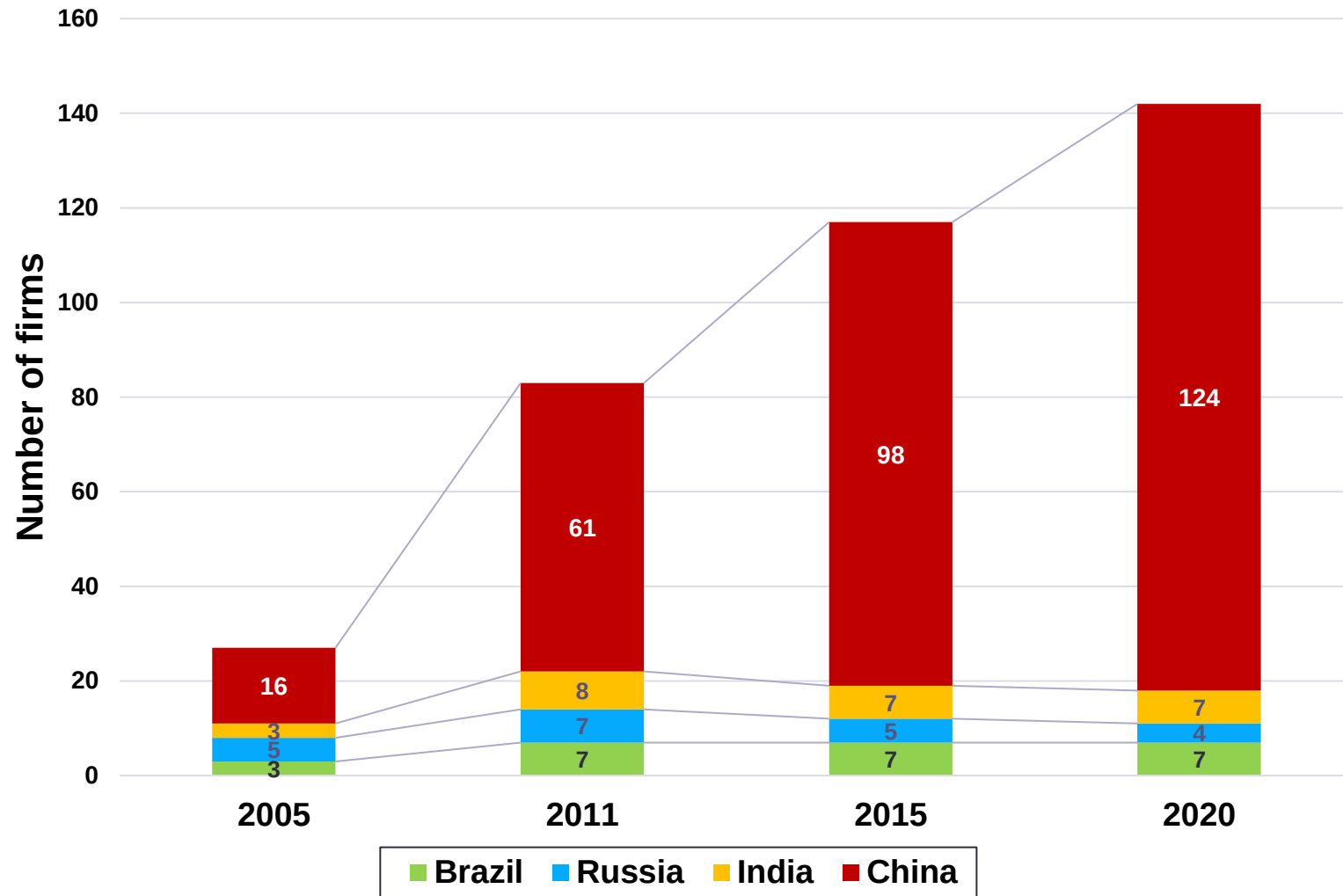
MNCs can:

- Change the business model (adaptation and more)
- Change the local context
- Stay away (not engage)

MULTINATIONALS FROM EMERGING MARKETS

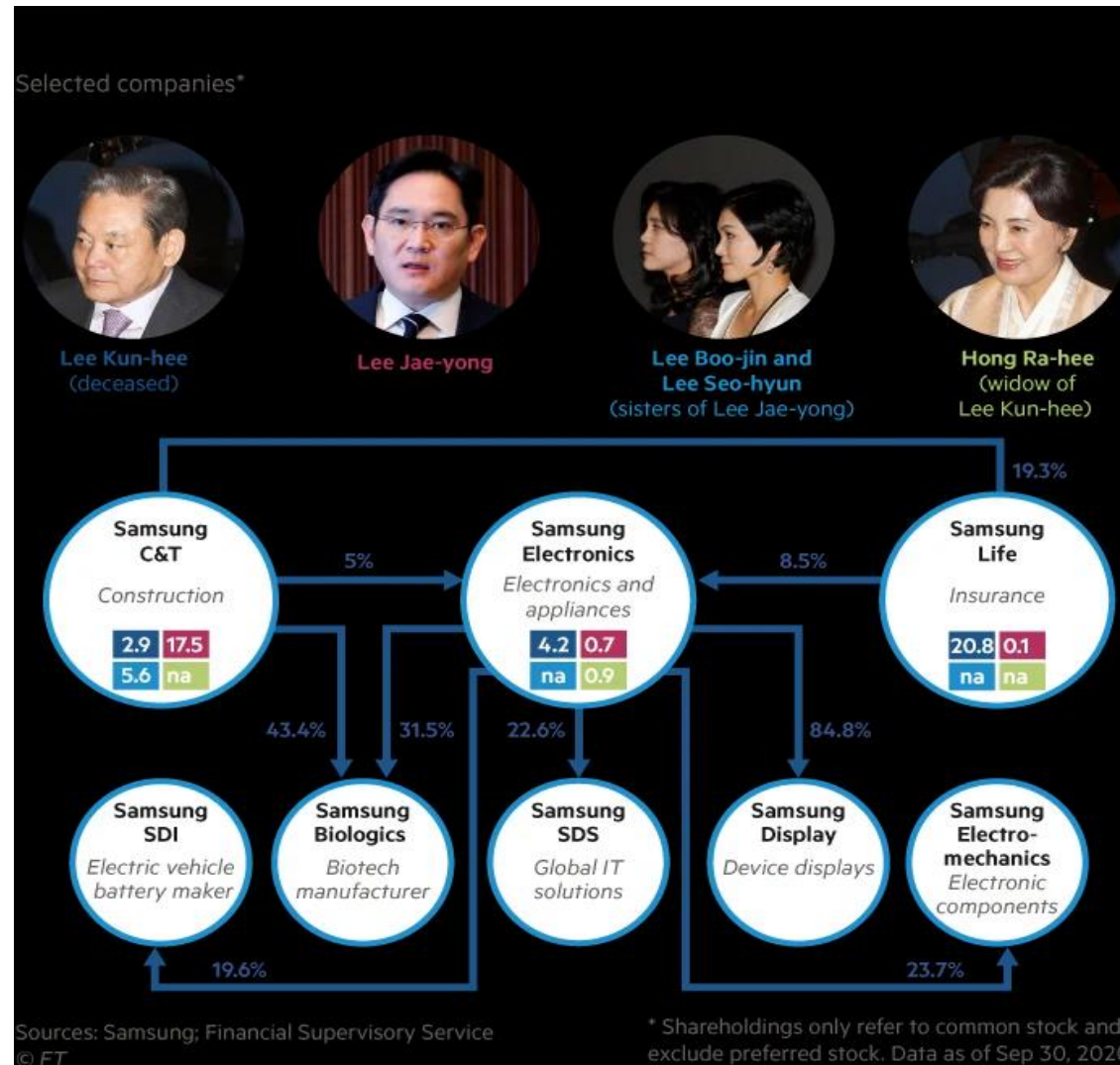
Usually distinct from multinationals from developed countries:

- Very diversified: business groups.
- Ownership concentrated in few owners.
- Strong presence of the state as an owner.



Source: The Fortune Global 500 List.

In South Korea: *Chaebols*



Source: FT. Available at < <https://www.ft.com/content/8035a965-19fb-4b6f-88ca-d301073d0e38> >

In Mexico: *Grupos*

América Móvil: telecom.

Grupo Carso: heavy industry, services, retail, consumer goods.

Grupo Financiero Inbursa: bank, insurance.

Impulsora del Desarrollo y Empleo de América Latina:
construction and infrastructure.

Inmuebles Carso: real state.

Minera Frisco: mining – gold, silver, copper, zinc – and metallurgy.



Tata Motors: Why business groups are important to overcome “institutional voids”?

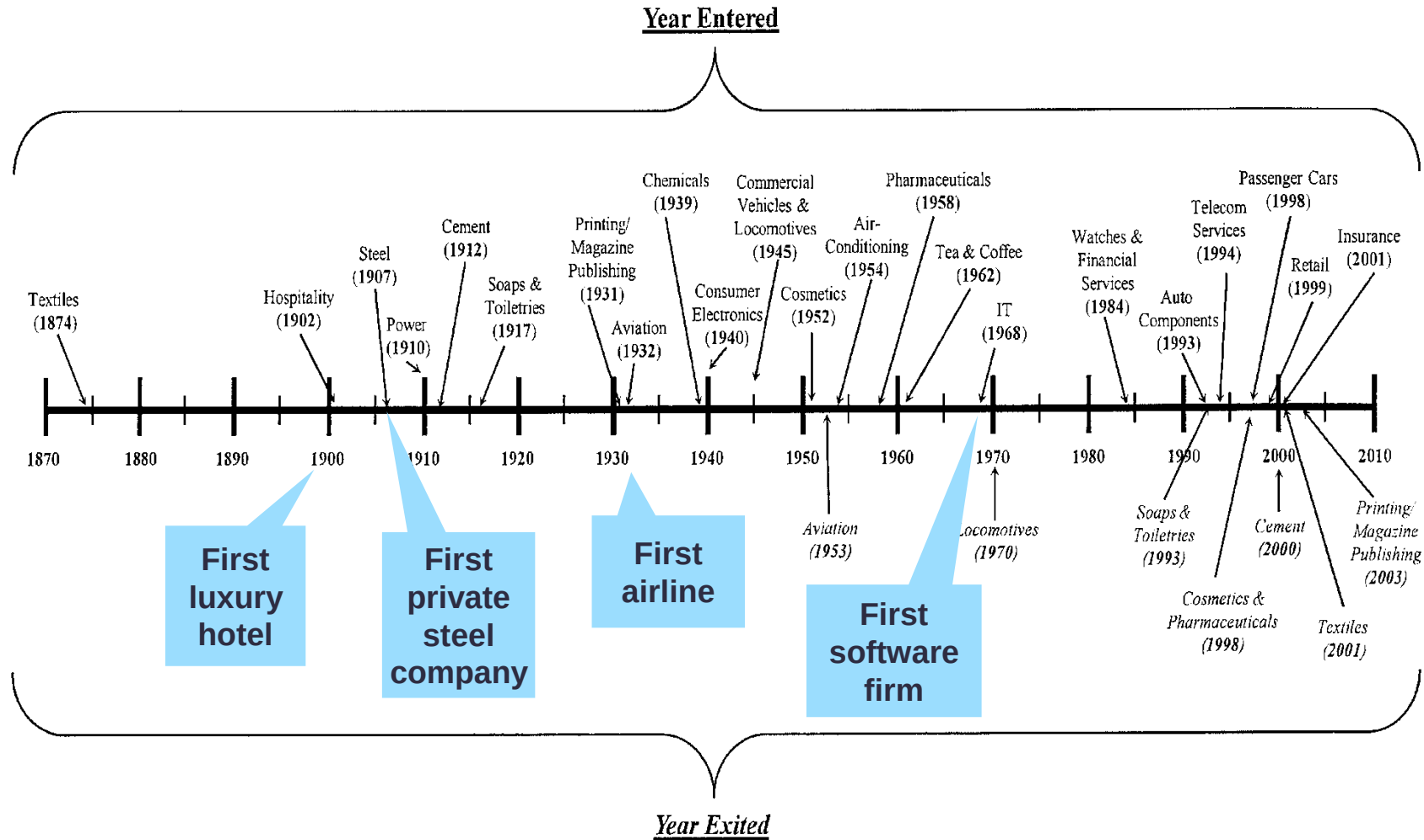
Tata Group:

Khanna, Palepu, & Bullock. “House of Tata: acquiring a global footprint,” HBS Case, 2008.



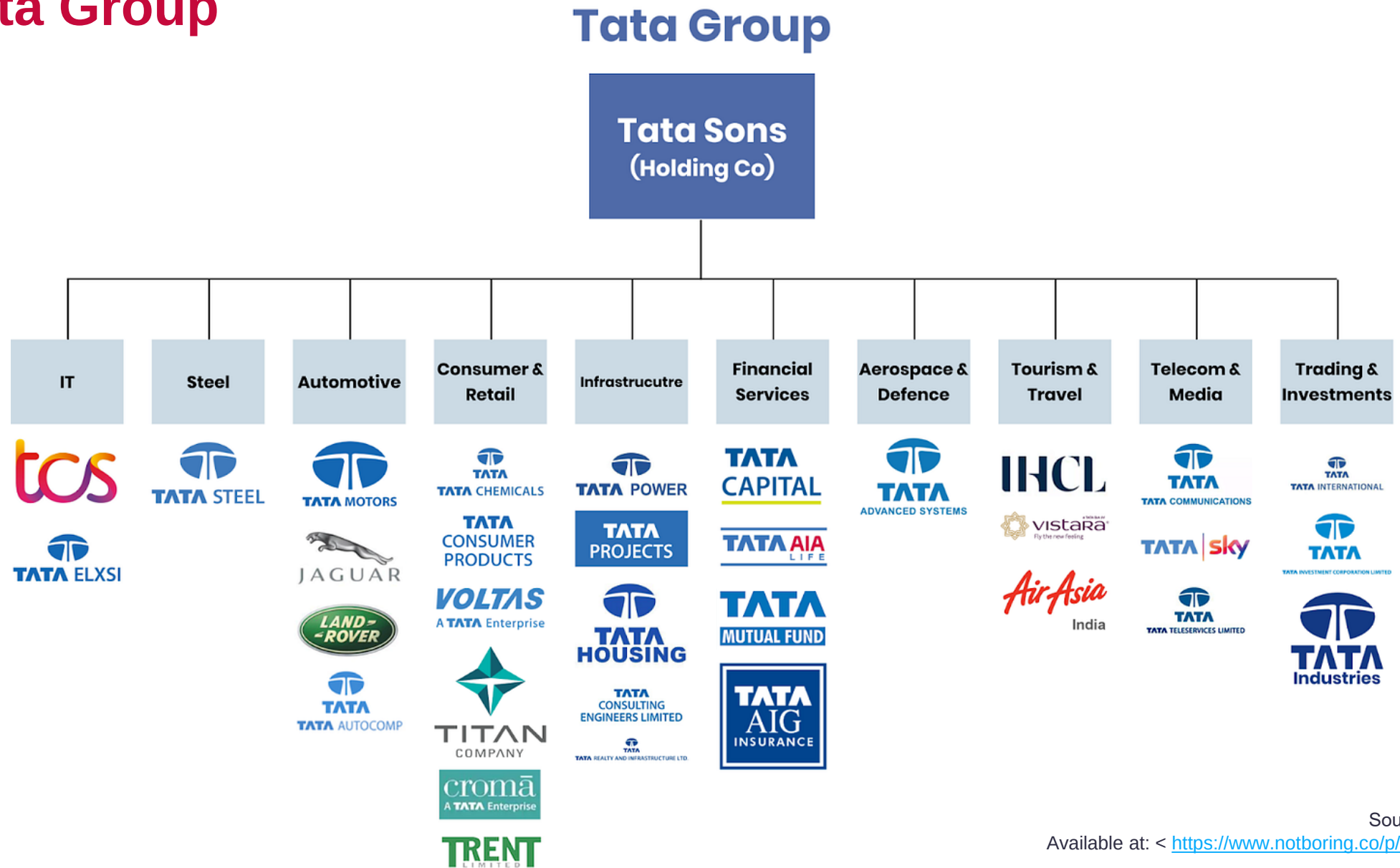
Origin and Evolution of the Group

House of Tata, 1870-2003



Source: Khanna et al. (2008).

Tata Group



Source: "NotBoring.co.
Available at: < <https://www.notboring.co/p/transforming-tata> >

“Every company in the TATA Group impacts others in the group because we are one family, although every company is independent. But we do influence each other, and we also learn from each other.”

***-- Ravi Arora,
Tata's VP of Innovation***



Tata Stocks and Bombay Stock Exchange Index - Correlations

#	Company (Index)	Mean	SD	Min	Max	1	2	3	4	5	6	7
1	TATA Motors	3.42	2.31	0.24	9.74	1.00						
2	TATA Consumer Products	2.82	2.33	0.31	11.99	0.24	1.00					
3	TATA Consultancy Services (TCS)	17.09	12.20	2.15	54.13	0.27	0.89	1.00				
4	Indian Hotels Co.	1.39	0.75	0.20	3.72	0.48	0.41	0.19	1.00			
5	TATA Steel	7.28	4.57	0.95	22.61	0.40	0.47	0.13	0.81	1.00		
6	TATA Power	1.27	0.86	0.10	3.99	0.49	0.28	-0.06	0.67	0.85	1.00	
7	TATA Chemicals	2.95	2.52	0.31	14.70	0.47	0.94	0.83	0.63	0.68	0.56	1.0
8	Bombay Stock Exchange: SENSEX Ind	19679.91	14402.22	2600.12	61765.59	0.56	0.89	0.98	0.58	0.49	0.41	0.90

Note: All pairwise correlations sig at $p < 0.0001$

**From the 1990s and on:
strong desire to *internationalize*!**

(How) does Tata add value as a group?

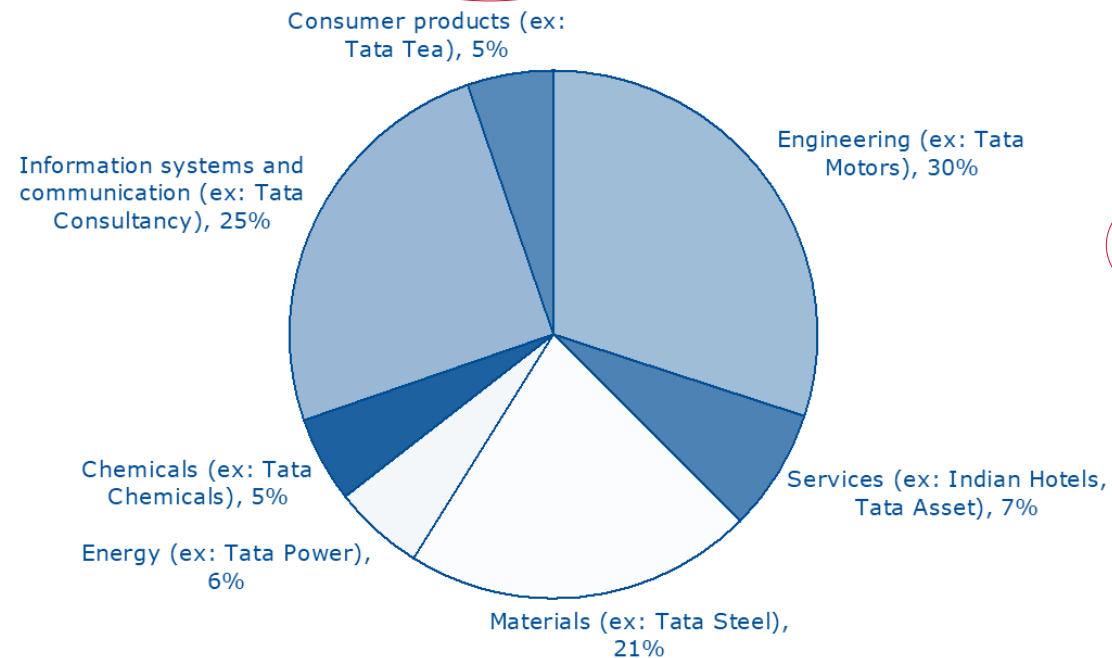
Shareholders/control

Tata Sons

Group Corporate Center

Group Executive Office

- Strategic formulation
- Monitoring/control (preserving the decentralized execution of the business units)
- Shared resources (brand name, human capital,...)
- Internal capital/funding



Promoter of new ventures

Tata Industries

Source: Khanna et al. (2008). Percentages refer to the participation of each segment in the group's revenues (2007).

Tata Motors





Acquisition of Jaguar and Land Rover (\$1-\$2 Bn)...

... Is it a good Idea?

PROS

- New capabilities and distribution channels in high-end markets.
- If JLR are not doing well under Ford, perhaps Tata can do better?
- Will reinforce the internationalization strategy of the group.
- Tata already has experience in global acquisitions.

CONS

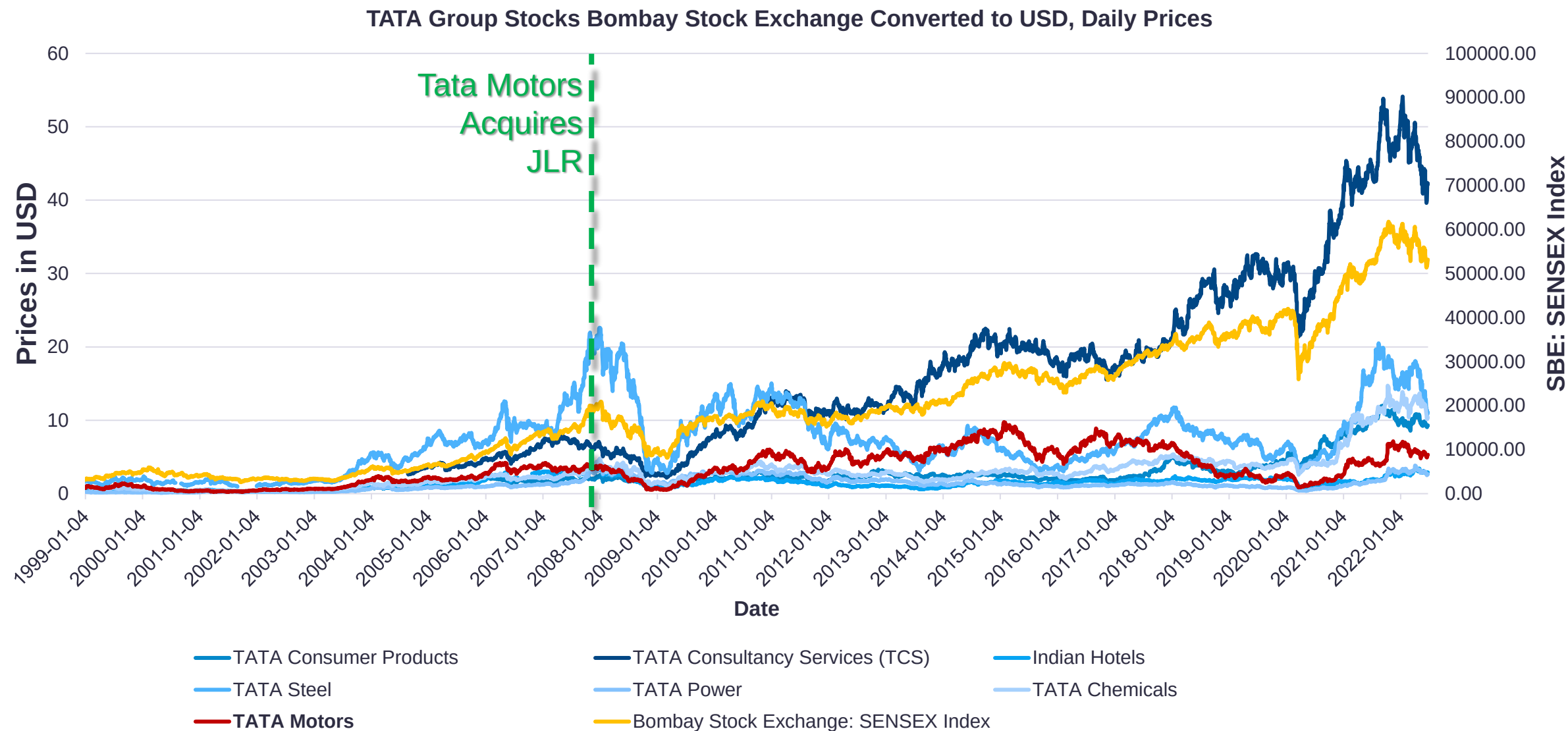
- Potential bidding war? (private equity funds, Mahindra & Mahindra).
- Luxury brands are not necessarily consistent with Tata's original positioning (commercial vehicles, bottom-of-the-pyramid).
- Tata was already highly leveraged (debt/equity ratio ~95%).
- Can the group fund the massive required investment? What are the opportunity costs?

What Happened Next?

- March 2008: Tata Motors buys Jaguar Land Rover (JLR) for \$2.3 bn.
 - JLR's David Smith remained as CEO after the deal.
 - JLR expected to contribute to more than half of Tata Motors' revenues.
- March 2009: Nano is launched, but production was behind schedule.
- By 2009: Financial crisis. Tata faces a funding gap of around \$3 bn (greatly due to loans issues to fund JLR's acquisition). Tata Motors' sales down 22%.
- By early 2012: Nano with mediocre sales due to poor marketing and technical problems (e.g., engine fires). Production ceased in 2018.
- JLR became a very profitable unit. Strong sales in China.



Tata Stocks and Bombay Stock Exchange Index - Evolution



Jaguar Land Rover Automotive: Financial Performance



Source: Motor Authority, Statista, and JLR Annual Reports (March), compiled in https://en.wikipedia.org/wiki/Jaguar_Land_Rover



[Video Link](#)

The Two Faces of Business Groups

Positive and Negative Implications



Positive View: Groups Help Address “Institutional Voids”

How Business Groups Can Help

(Khanna & Palepu, *HBR* 1997)

- | | | |
|--|--|--|
| 1. Inefficient capital markets ; scarce, costly, and with poor protection of investments. |  | Close monitoring of businesses; provision of internal capital; creation of new enterprises |
| 2. Rigid and incipient labor markets : scarcity of skilled people. |  | Creating and developing internal talent; internally managing and shifting people within the group. |
| 3. Local tastes and need of reliable mechanisms of customer protection in product markets . |  | Local knowledge and reputation: private regulation of quality (“umbrella” brand name and internal quality practices) |
| 4. Inefficient legal system and weak contractual enforcement (macro context). |  | Group reputation; management of contractual agreements and partnerships. |

Negative Views on Business Groups

- Groups tend to consolidate domestic industries and **increase market concentration**.
- Groups participate in multiple, **overlapping sectors**:
 - **Reduced incentives to aggressively compete** against each other.
- Groups develop specific **capabilities to deal with governments and politicians**
 - **Potential corruption** and incentives to diversify into highly regulated sectors.
- Groups are usually involved in **governance conflicts (ownership “pyramids”)**.

Key Takeaways

- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Country risk
 - Political Risk might shift governance curves given the increase in contractual hazards associated with “asset expropriation” risk.
 - Institutional Voids and Business Groups
 - Institutional voids impose difficulties in operations in emerging markets. Firms can act in a countercyclical way.
 - At the same time, institutional voids foster the development of business groups, which act as a way to overcome these voids and reach a competitive position internally and internationally.

Next Class

- How should we go? **Stakeholder Management Framework**
 - Inclusive innovation, Climate change, and Stakeholder Management

Looking Ahead: Stakeholders

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - Mark Kramer; Rishi Agarwal, Aditi Srinivas. "Business as Usual Will Not Save the Planet" Harvard Business Review. June 12th, 2019.
 - Raghav Narsalay, Leandro Pongeluppe, David Light (2015) "The Hidden Pitfalls of Inclusive Innovation," Stanford Social Innovation Review. Winter: 48-53
 - "Amazon Case Study: Natura's Supply Chain." Americas Quarterly. May 12th, 2021.
 - Podcast (listen before class) "The Simple Economics of Saving the Amazon Rain Forest" (Freakonomics Podcast, Episode 428). Click [here](#) to listen.
 - Natura: Dirk Boehe; Leandro Pongeluppe; Sérgio Lazzarini. "Natura and the development of a sustainable supply chain in the Amazon region." Insper Case, 2013.

QUESTIONS

- *In your opinion, what are the key global problems business leaders can help solve?*
- *In which sense is the Amazon Rainforest conservation a market failure problem?*
- *What are the key strategies Natura used in its Amazonian supply-chain that help to overcome this failure and benefit the company?*



Thank you.

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